COCA COLA CO

KO | ANNUAL through 2025-12-31 | As of 2026-10-11

FINANCIAL PROFILE

USD | reported units, scaled for display

Revenue	**47.94 bn**	Free cash flow	**5.30 bn**
Operating EBIT proxy	**13.76 bn**	Gross debt	**46.74 bn**
EBITDA proxy	**14.81 bn**	Gross leverage	**3.16x**
Operating cash flow	**7.41 bn**	Interest coverage	**8.32x**

SCREENING SCORE 64.1 / 100 | Stable

Uncalibrated screening heuristic; not a rating, default probability or investment recommendation.

EBITDA uses a D&A scope proxy. Debt includes verified disposal-group borrowings where reported; gaps stay N/A.

CREDIT STRENGTHS

Operating cash flow exceeds cash capital expenditure, leaving positive free cash flow that could support obligations and debt reduction. The cash-flow durability depends on consumer demand and input costs, as discussed in the risk factors. This is repayment capacity inferred from historical results, rather than guaranteed future cash availability. [1]

Operating income covers gross interest expense by a comfortable margin, indicating earnings capacity to absorb borrowing costs. The provided MD&A describes a diversified beverage portfolio and global operations. Coverage remains an accounting measure: operating earnings do not establish cash available for debt service, and expensed interest does not measure all cash financing costs. [1]

KEY RISKS

The risk-factor passage highlights that unfavorable economic and geopolitical conditions, including inflationary pressures and international conflicts, could reduce consumer demand and increase input costs. Such disruptions may impair revenue and profitability, potentially weakening cash flow available for debt service. The company already faced operational disruption from international conflicts, and these risks are not fully mitigated by its market position. [1]

The debt note reports commercial paper alongside predominantly long-term borrowings. This short-term component creates rollover exposure if credit markets tighten. Unused credit lines provide a disclosed liquidity resource, subject to banking terms and continued availability. Refinancing risk should be assessed against the entire maturity profile; commercial paper represents a small share of reported borrowing. [1]

DEBT SERVICING CAPACITY

Free cash flow relative to debt is modest, suggesting that internal cash generation alone may not rapidly reduce leverage. The company likely depends on refinancing and access to capital markets to manage maturities. This ratio is an analyst inference based on reported cash flow and debt balances, and it does not account for potential asset sales or other liquidity sources. [1]

The debt note describes fixed-rate notes and debentures with staggered maturities, which could spread refinancing needs over time. Current maturities and commercial paper still require near-term funding. Continued capital-market access and the availability of backup credit facilities matter for repayment. The excerpts do not establish an agency rating or guarantee future refinancing. [1]

OVERALL CREDIT VIEW

Profitability and historical cash generation support the credit view, while leverage and refinancing needs warrant monitoring. Gross and net leverage suggest a meaningful debt burden relative to free cash flow. A stable outlook is an analyst inference conditional on sustained operations and market access, rather than a rating or estimated default probability. [1]

Liquidity appears adequate, with a current ratio above one and a cash balance that partially offsets debt. However, the quality of liquidity depends on cash being unrestricted and readily available, which is not fully detailed in the provided evidence. Missing evidence includes a full maturity schedule and covenant details, which would better inform refinancing risk and headroom. [1]

SOURCES & METHOD

[1] SEC filing ko-20251231.htm